

TAX EXEMPT ROOMS

Hotel St. Cloud front desk · Cañon City, Fremont County · 21 Sep 2026 · Full SOP: offers.hotelstcloud.com/assets/hsc-tax-exempt

Tax exempt does not mean every tax is zero. Qualify the entity, then the payment. If either fails, collect Colorado Tax and Occupation Tax. When in doubt, collect and give an itemized folio.

WHAT IS ON THE ROOM

LAYER	RATE	CLOUDBEDS	IF THEY TRULY QUALIFY
State sales	2.9%	Colorado Tax	Off. Same exemption covers all three sales layers on rooms.
Fremont County sales	2.5%		
Cañon City sales	3.3%		
Fremont County lodging	2.0%	Occupation Tax	Off. County lodging uses the same exemptions as state room tax. No extra city occupancy in Cañon City.

Taxable room ≈ **10.7%** tax. Military 10% and edu/gov 7% are **rates**. Those guests still pay tax.

WHO QUALIFIES

- U.S. or Colorado government** (county, city, school, special district) on official business, paid with government funds.
- Qualifying charity** with Colorado 98 / 098 certificate (or qualifying out-of-state cert), paid with org funds. Over \$250: org check or org card.
- 30 consecutive nights** with a written agreement.
- Diplomatic OFM card.**

WHO DOES NOT

- Military / veteran ID (use 10% rate)
- Teacher or gov employee on a personal card
- GSA Travel IBA (sixth digit 1–4)
- Reimbursed later / contractor for the government
- Club, chamber, trade association, 501(c)(4)/(c)(6)
- IRS letter with no Colorado 98 / 098
- OTA folio at check-in (manager / Jessica)

PAYMENT IS THE GATE

- PO / direct bill, entity check, org card: can exempt
- GSA Purchase (red) or Integrated (gold): CBA, can exempt
- GSA Tax Advantage (silver, CBA Tax Exempt): room can exempt
- GSA Travel, sixth digit **6–0**: CBA, can exempt
- GSA Travel, sixth digit **1–4**: IBA, **full tax**
- Colorado OneCard / 98-02565 business travel: can exempt
- “FOR INDIVIDUAL BUSINESS TRAVEL ONLY”: full tax
- Personal card even with a cert in the bag: full tax

Do not write the full card number. Note “Travel IBA digit 3” or “Travel CBA digit 8.”

CLOUDBEDS, EVERY TIME

- Documents on the **guest** (not the reservation). Cert, card photo, PO, DR 5002.
- Guest status upper right: **Tax Exempt**.
- Book the earned rate. Tax exempt is not a rate plan.
- Folio → Posted **and** Pending. **Colorado Tax \$0** and **Occupation Tax \$0** on room.
- If tax is already on the folio: ADD/ADJUST CHARGE → Adjust Charge → Colorado Tax, then Occupation Tax. Do not adjust Room Rate. Refund the tax dollars if they already paid.
- Guest note: entity, cert number, official business, payment type, initials, date.
- F&B and incidentals stay taxed unless the same entity is paying those and they still qualify.

Sources: Colorado DOR Rooms & Accommodations; Governmental Entities (Feb 2024); Charitable Organizations (Aug 2026); DR 5002; GSA SmartPay Colorado; Fremont lodging 2% (voter lodging tax); Cañon City sales 3.3% (1 Jan 2025). Jessica is the last word. Confirm DR 1002 / DR 1003 if a rate changes 1 Jan or 1 Jul. Not legal advice. House procedure only.